

year. In the extreme, a correlation coefficient of -100% implies that the markets move in exactly opposite relative directions.

Of course, in the new global economy, finding such negatively correlated markets is tough. Indeed, more typically, a rising tide lifts all ships (and vice versa). But if you look hard enough, you should be able to find some market segments that are countercyclical to others. This is why diversifying your 401(k) and IRA investments internationally as well as across asset classes is so important.

Now, just to get a clearer sense of how correlation operates, here is an example. Over the last 20 years, the correlation between U.S. equity returns and European equity returns has been roughly 60% . This means that when the European stock market is having a better-than-average month, the U.S. market is also having a better-than-average month.

Reviewing the last two decades, statisticians have measured the strength of this positive parallel movement on a scale of 0 to 100 and come up with the number 60. This is definitely a positive correlation coefficient, but not necessarily a very strong correlation. Still, it makes a certain amount of intuitive sense that global capital markets should move at least partially in tandem.

So why am I so preoccupied with correlations? Who cares if or how different markets move together? Well, as I suggested earlier, correlation is the key and secret to diversification's success.

Correlations: The Magic Behind Asset Allocation

Think of financial correlation this way. Suppose you are faced with two investment funds. You expect both to make you a few dollars. Moreover, there is a significant additional benefit: The two markets in which you might invest are not perfectly correlated. They do not move together in a parallel direction. Thus, you have a better chance to gain by holding both of them. Let me explain why. Assume that you split your money equally between the two investments. For various hypothetical correlation scenarios, Table 3.1 shows the probability that you will earn less than you would if you invested instead in a one-year certificate of deposit (CD) earning 5% .